

Faculty of Commercial Studies and Business Administration

2025-2026

2024-2025

Fall semester

➤ Principles of Accounting (1)

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EELU

الجامعة المصرية للتعليم الإلكتروني الأهلية
THE EGYPTIAN E-LEARNING UNIVERSITY



Chapter 6

Inventories and Cost of Sales



Chapter 6 Learning Objectives

CONCEPTUAL

C1 Identify the items and costs of merchandise inventory.

PROCEDURAL

P1 Compute inventory in a perpetual system using the methods of specific identification, FIFO, LIFO, and weighted average.

Determining Inventory Costs

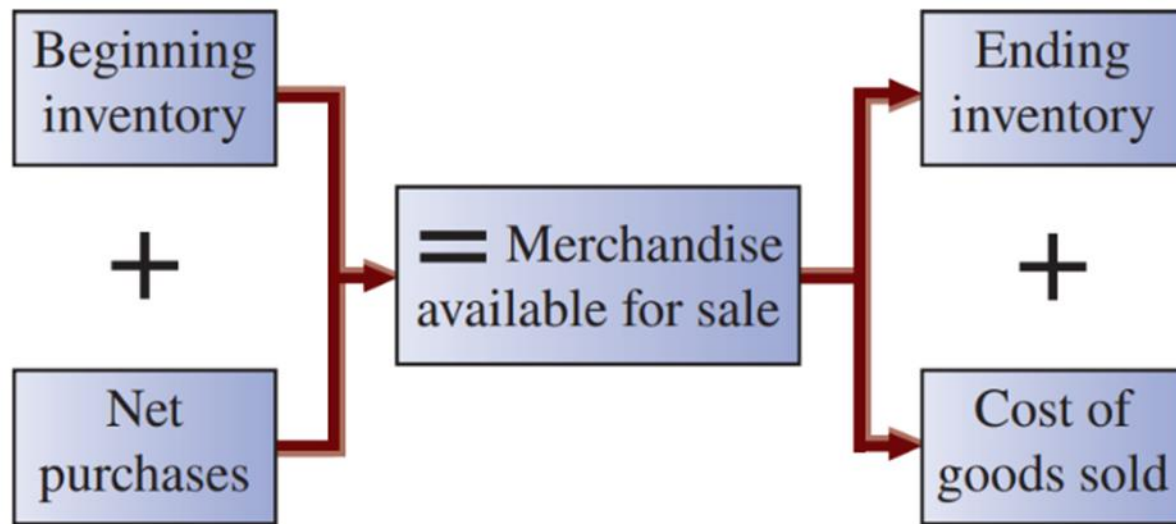
- Include all expenditures necessary to bring an item to a salable condition and location.
- Inventory cost = Invoice cost - discounts + other costs
 - Other costs include:
 - Shipping
 - Storage
 - Insurance
 - Import duties

Inventory Costing Methods

Four methods are used to assign costs to inventory and to cost of goods sold:

1. Specific identification
2. First-in, First-out (FIFO)
3. Last-in, First-out (LIFO)
4. Weighted average

Cost Flow of Inventory



Inventory Costing under a Perpetual System



Inventory Costing Illustration: Perpetual System

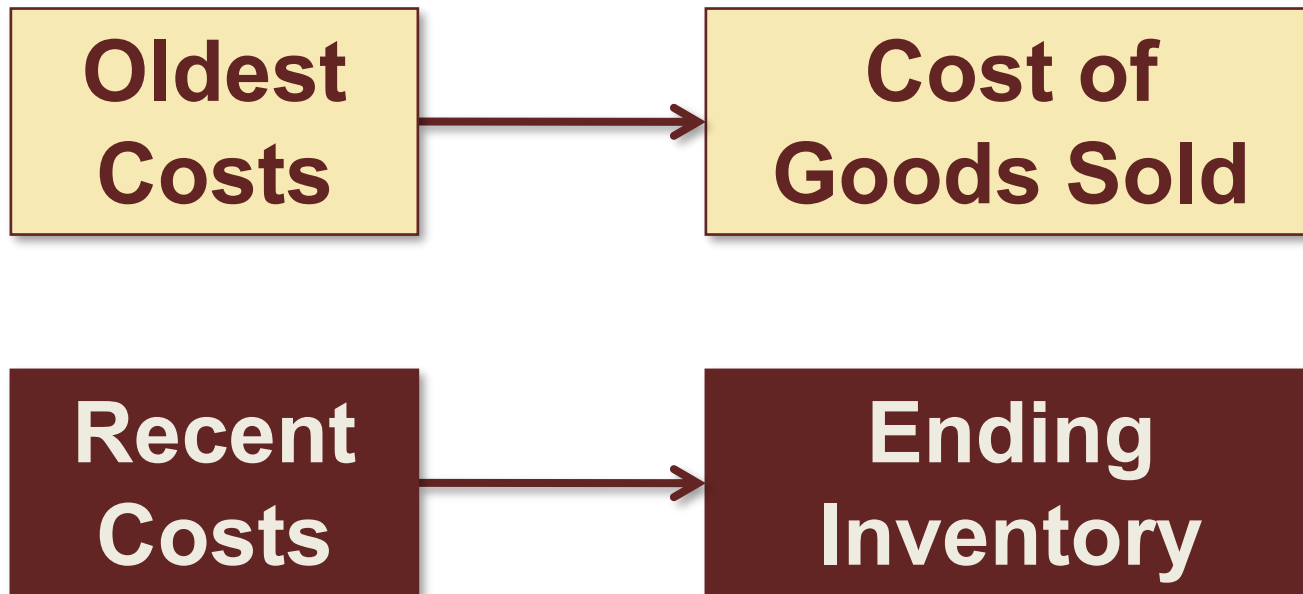
Here is information about the mountain bike inventory of Trekking for the month of August.

Date	Activity	Units Acquired at Cost	Units Sold at Retail	Unit Inventory
Aug. 1	Beginning inventory.....	10 units @ \$ 91 = \$ 910		10 units
Aug. 3	Purchases.....	15 units @ \$106 = \$ 1,590		25 units
Aug. 14	Sales.....		20 units @ \$130	5 units
Aug. 17	Purchases.....	20 units @ \$115 = \$ 2,300		25 units
Aug. 28	Purchases.....	10 units @ \$119 = \$ 1,190		35 units
Aug. 30	Sales.....		23 units @ \$150	<u>12 units</u>
	Totals	<u>55 units</u> <u>\$5,990</u>	<u>43 units</u>	
		Units available for sale	Units sold	Units left
		Goods available for sale		

Specific Identification: Perpetual

Date	Goods Available for Sale	Cost of Goods Sold	Ending Inventory
Aug. 1	10 @ \$ 91 = \$ 910	10 @ \$ 91 = \$ 910	
Aug. 3	15 @ \$106 = \$ 1,590	15 @ \$106 = \$ 1,590	
Aug. 17	20 @ \$115 = \$ 2,300	15 @ \$115 = \$ 1,725	5 @ \$115 = \$ 575
Aug. 28	10 @ \$119 = \$ 1,190	3 @ \$119 = \$ 357	7 @ \$119 = \$ 833
	<u><u>\$5,990</u></u>	<u>43</u> <u><u>\$4,582</u></u>	<u>12</u> = <u><u>\$1,408</u></u>

First-In, First-Out (FIFO): Definition Perpetual



First-In, First-Out (FIFO): Perpetual

Date	Goods Purchased	Cost of Goods Sold	Inventory Balance
Aug. 1	Beginning balance		10 @ \$ 91 = \$ 910
Aug. 3	15 @ \$106 = \$1,590		10 @ \$ 91 15 @ \$106 } = \$ 2,500
Aug. 14		10 @ \$ 91 = \$ 910 10 @ \$106 = \$1,060 } = \$1,970	5 @ \$106 = \$ 530
Aug. 17	20 @ \$115 = \$2,300		5 @ \$106 20 @ \$115 } = \$ 2,830
Aug. 28	10 @ \$119 = \$1,190		5 @ \$106 20 @ \$115 10 @ \$119 } = \$ 4,020
Aug. 30		5 @ \$106 = \$ 530 18 @ \$115 = \$2,070 } = \$2,600 <u><u>\$4,570</u></u>	2 @ \$115 10 @ \$119 } = <u><u>\$1,420</u></u>

Exercise 1:

Use the following information from Marvel Company for the month of July to answer questions 1 through 4.

July 1	Beginning inventory.....	75 units @ \$25 each
July 3	Purchase.....	348 units @ \$27 each
July 8	Sale.....	300 units
July 15	Purchase.....	257 units @ \$28 each
July 23	Sale.....	275 units

Perpetual: Assume that Marvel uses a *perpetual* FIFO inventory system. What is the dollar value of its ending inventory?

Answer

Date	Goods Purchased	Cost of Goods Sold	Inventory Balance
July 1			75 units @ \$25 = \$ 1,875
July 3	348 units @ \$27 = \$9,396		75 units @ \$25 348 units @ \$27 } = \$11,271
July 8		75 units @ \$25 225 units @ \$27 } = \$ 7,950	123 units @ \$27 = \$ 3,321
July 15	257 units @ \$28 = \$7,196		123 units @ \$27 257 units @ \$28 } = \$10,517
July 23		123 units @ \$27 152 units @ \$28 } = \$ 7,577	105 units @ \$28 = <u><u>\$ 2,940</u></u>
		<u><u>\$15,527</u></u>	



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THANK YOU



QUESTIONS?

